What did the government do to revive the economy during the COVID-19 Pandemic?

The year 2020 started off with an immense blow no one was prepared for. Not only did the strength of COVID 19 threaten our health but the process of staying unaffected from this never ending viral infection demanded people to give up (earning their) living. For a country having 20% of its population under the national line of poverty back then (Asian Development Bank, n.d.), the lockdown was nothing but an open invitation to millions more to join the class and boost its number.

According to the records, by the end of 2019, 58.74% of Bangladesh's total population was under its labour force[1] (*Bangladesh - Labor Force Participation Rate*, 2019) and 4.22% of them were unemployed (*Bangladesh Unemployment Rate 1991-2021 | MacroTrends*, n.d.). As covid 19 came with an unwanted vacation from everyone's work-life a huge number of people were forced to stay idle and not earn. Construction works, RMG sectors, banks, educational institutes, public offices and many small & large industries were simply not required to run at that time; everyone apart from medical or civil defence frontliners and people engaged with cleaning, groceries and food supplies, were asked to stay home and help reduce the work pressure on the only sector that was undesirably way too busy.

Every service holder tries to fulfil a requirement in his/her respective customer class' life. Sincerity and truthfulness while serving is always welcomed but, at the end of the day, we cannot ignore the main reason why people earn; to feed themselves. People can stay without their own house, good clothes or education but not without

[1] Citizens over 15 years old who are eligible to earn, working or looking for a work.

nutrition to keep them fighting. Thus, the general holiday, announced back in march 2020, sooner or later, affected people of all classes. Only a few sectors, mostly those under the government, could stand promisingly and did not deprive their workers of their earnings. Many private institutions closed, a remarkable amount of companies reduced employees or salary and those who survived under daily wages, got completely disconnected from their source of income. No wonder the percentage unemployment rose up to about 30% by mid 2020 (*Bangladesh Unemployment Rate 1991-2021 | MacroTrends*, n.d.)

Nearly everyone had to turn towards their savings to run the household and feed their family. While middle-earning class people tried to adjust food-rent-utility bills expenses, many low-earning people left cities for home districts/villages, trying to reduce expenses (The Daily Star, 2020, #). However, instead of their non-existent savings, the latter had to look up to the higher-earning bourgeoisie class for support. Thus, all of a sudden, everyone required their stocked cash (cash-in-bank) to be in hand (as there was nearly no new income for any class of working people at that moment); some needed it to feed themselves, some for the expenses of the treatment and the most established class needed to provide others stability and support.

Apart from aids from private, any personal or international sectors; who exactly did the government of Bangladesh keep the country economically running?

The very first bill Bangladesh Bank, being a presenter for all the financial declarations of the country, passed was suspending loan payments for the rest of the year. As the requirement of cash kept mounting, they decided to drop the repurchase interest rate[2] for other banks to be able to run more easily. The government also increased the payment duration for imported raw materials, aiming to make sure that sectors such as agriculture, medicines or production of items required to deal with the covid situation do not shut down just because of money. By then it was clear that even if the demand for dresses or fancy accessories decreased, that for p.p.e. or sanitisation items increased by a thousand times. Soon after realising that encouraging digital payment is also a safety measure against covid, transition limits of every sort- mobile banking, debit-credit cards, international transition- were extended. This not only made sure people are exchanging less paper notes rather made it easier for people to provide financial aids through mobile banking to the needy ones. Over time the liquidity ratio of banks was compromised; more cash was set out to be invested or used in aid instead of being stored as assurance. The ADR for banks shot up. Advanced-to-deposit-rate means the ratio of the amount the bank paid it's customer (as loan) to what the customer paid it back. These might not be sectors where the government itself got involved, but to make sure that the economic fluidity exists, they decided not to put extra restrictions from their parts. (KPMG International Limited, n.d.)

By April, a refinance scheme was declared for agricultural support. Bangladesh Bank, directly, decided to provide short term loans to help support agricultural progress. This had a budget of approximately 50 billion BDT. Later a longer term loan scheme was introduced as well. Another 30 billion BDT was soon alloted for other sectors, like cottage industries. (KPMG International Limited, n.d.) These got

[2] The interest the central bank receives after providing money (as support) to other banks for investing.

special preference because in the bigger picture, the ultimate boost to the country's economy came through the micro enterprises (The Daily Star, 2020, #) and their recovery would itself stabilise the economy.

At the same time, the Prime minister's announcement made sure workers of informal sector such as, medical frontliners, insurance company workers and bankers received a handful of cash assistance, specially those who got affected by covid; that was in order to respect their sacrifice as a service holder. However, from the very beginning, the prime minister's office was engagingly collecting donation funds to be distributed among the needful ones. Although the primary aid of dry food supplies had less to do with the economic development of the recipient, the ones these bulk were purchased from must have been heavily benefitted. Later, this aid for a cash from as well. Although given as an Eid gift from the country head, the cash provided to more than 5 million families was a blessing as a form of microfinance incentive. Which, even if one spent for his basic need, would help boost the economy of that person's locality. (KPMG International Limited, n.d.)

The government also came up with more than a 650 billion BDT worth budget to support fallen industries in the form of loans. Almost 45% of this budget got allocated for larger industries and 30% for medium scale and small (cottage) industries. The rest were decided to be used for pre-booking or paying for imported items, mostly raw materials which would eventually be processed into something more valuable. (KPMG International Limited, n.d.).

Thus, schemes or ideas, usually presented by NGOs were boldly applied by the government to save the economy from sinking deep. Throughout the time we had foreign assistance, both funds and ideas but when the whole world is going through the same crisis, everyone tends to remain busy managing their own home. Over time, many things went back to normal, the shock was heavy yet many few wisely measured steps by the government made it absorbable for all.

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